| | Family A | Family B |
|---|---|---|
| Debt Consolidation Loan | $20,000 (10%) | $25,000 (10%) |
| New credit card debt | 0 | $20,000 (18%) |
| Ending debt | $20,000 (10%) | $45,000 (14%*) |

* 14% computed based on the average interest rate of both loans combined

Debt consolidation loans can be a good idea if, like Family A, you only borrow the amount equal to the existing debt and then cut up and close the credit card accounts in order to avoid the temptation to continue charging. By making the wrong choices, Family B has made their debt situation worse than when they started.

When Stacey started falling behind on her home equity loan payments, she realized another important difference between an unsecured and a secured loan. Since her home equity loan was secured to her house, if she couldn't make the payments, they could take her house. She could end up in foreclosure with her property seized and then sold. This was never a possibility with her unsecured credit card debt. No collector was ever going to repossess the clothes that she had purchased with her credit card.

By not closing her accounts and cutting up the credit cards she had paid off, she fell into the trap of using her open lines of credit again. Stacey learned that trying to get out of debt by acquiring more debt had actually succeeded in getting herself deeper in debt!

If Stacey had closed her credit accounts after having paid them off with her home equity loan, she wouldn't have had access to these additional lines of credit. Stacey had not been forced to live within a budget or save money because whenever an unexpected expense came up, she turned to her credit cards to cover that expense.